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are two types of shares namely Equity shares and Preference shares.

### i) Equity Shares

The fund raised by issuing equity shares is termed as equity share capital. Equity share is the most important source of raising long term capital by a company. These shares do not carry any special or preferential rights in the matter of payment of annual dividend and repayment of capital at the time of winding up . Equity shareholder enjoys more voting rights in proportion to number of shares held by them. Thus they take part in the management of the company.

### ii) Preference Shares

The fund raised by issue of preference shares is called preference share capital. Preference shares are those shares which enjoy priority regarding payment of dividend at a fixed rate out of the net profits of the company. They will get their dividend every year before any dividend is paid to equity shareholders. They will have a right to get their settlement before the claims of equity shareholder are settled at the time of liquidation of company. However they do not have voting rights.

### 2) Debentures

Debentures are an important instrument for raising long term debt capital. A company can raise funds through issue of debentures which bear a fixed rate of interest. The individual or person subscribing to debentures is called debenture holder. An entity raising funds through debenture has to pay interest at the stipulated date whether it earns profit or loss. Failure to pay interest leads to liquidation of the company. Debenture holders do not have voting rights.

### 3) Retained Earnings

Retained earnings refer to the process of retaining a part of net profit year after year and reinvesting them in the business. It is also termed as ploughing back of profit. An individual would like to save a portion of his/her income for meeting the contingencies and growth needs. Similarly profit making company would retain a portion of the net profit in order to finance its growth and expansion in near future. It is described to be the most convenient and economical method of finance.

### 4) Public Deposits

Under this method, companies invite public deposits by giving advertisement in the media. It offers deposit schemes for a longer tenure. Person interested in making public deposit has to undergo a simple formality. The interest rates offered by companies on public deposits are relatively higher than the bank. Public deposits are perceived to be economical for the company since the interest rate on deposits is less than the cost of borrowing from the bank.

The company need not offer any of its assets as security on accepting public deposits. Moreover the control of the company is not diluted as the deposit holders do not enjoy the voting rights.

### 5) Long Term Loan from Commercial Banks

Commercial banks are important sources of raising business finance for various purposes as well as for different time periods. Banks in modern times offer long tenured loans for a period beyond 5 years also. The long term loan taken from banks can be repaid either in installment or in one lump sum. Banks